

**Notes: Nekoei & Seim (RES, 2023)**  
**How Do Inheritances Shape Wealth Inequality? Theory and Evidence from Sweden**

## Contents

|          |                                                                                        |           |
|----------|----------------------------------------------------------------------------------------|-----------|
| <b>1</b> | <b>Big picture</b>                                                                     | <b>2</b>  |
| <b>2</b> | <b>Incremental contribution of this paper</b>                                          | <b>2</b>  |
| <b>3</b> | <b>Data and measurement</b>                                                            | <b>2</b>  |
| 3.1      | Swedish administrative data . . . . .                                                  | 2         |
| 3.2      | Key variables . . . . .                                                                | 3         |
| <b>4</b> | <b>Models and empirical specifications</b>                                             | <b>3</b>  |
| 4.1      | Wealth-accounting decomposition . . . . .                                              | 3         |
| 4.2      | Unearned-income decomposition . . . . .                                                | 3         |
| 4.3      | Mincerian Dynamic Approach . . . . .                                                   | 4         |
| 4.4      | Dynamic MPC and MPE . . . . .                                                          | 4         |
| 4.5      | Short-run inequality condition . . . . .                                               | 4         |
| 4.6      | Event-study specification . . . . .                                                    | 4         |
| <b>5</b> | <b>Identification and empirical design</b>                                             | <b>5</b>  |
| <b>6</b> | <b>Tables and figures</b>                                                              | <b>6</b>  |
| 6.1      | Figure 1 and Figure 2: theory and empirical design . . . . .                           | 6         |
| 6.2      | Table 1 and Figure 3: sample balance and average inheritance effects . . . . .         | 7         |
| 6.3      | Table 2 and Figure 4: behavioural responses to inheritance receipt . . . . .           | 8         |
| 6.4      | Figure 6, Figure 7, and Figure 8: returns, top shares, and long-run reversal . . . . . | 9         |
| <b>7</b> | <b>Short summary</b>                                                                   | <b>10</b> |
| <b>8</b> | <b>Expanded conclusion</b>                                                             | <b>11</b> |
| 8.1      | Core conclusion . . . . .                                                              | 11        |
| 8.2      | Economic intuition . . . . .                                                           | 11        |
| 8.3      | Policy implications . . . . .                                                          | 11        |
| 8.4      | Contribution to wealth-inequality research . . . . .                                   | 11        |
| 8.5      | What to remember . . . . .                                                             | 12        |

# 1 Big picture

- **Question.** How do inheritances affect wealth inequality in the short run and the long run?
- **Empirical setting.** The paper uses Swedish administrative data linking parent deaths, inheritances, inter vivos transfers, tax-reported wealth, asset composition, labour income, car purchases, and family links.
- **Research design.** The main design compares similar individuals from the same birth cohort who lose a parent at different ages. The identifying variation is the timing of parental death and therefore the timing of inheritance receipt.
- **Short-run result.** Inheritances reduce relative wealth inequality when received. Wealthy heirs receive larger inheritances in levels, but their inheritances are smaller relative to their own wealth.
- **Long-run reversal.** Within roughly a decade, the equalizing effect reverses. The average heir depletes inherited wealth, while wealthy heirs keep inherited wealth largely intact.
- **Mechanism.** The reversal is not mainly because wealthy heirs consume less or work less differently. It is mainly because they earn higher returns on inherited wealth.
- **Behavioural decomposition.** The paper separates how inherited resources are allocated across time, spent across consumption and leisure, and financed through depletion versus returns.
- **Policy takeaway.** Inheritance taxes affect short-run and long-run inequality through different channels. Long-run inequality reduction requires taxing inheritances received by wealthy heirs, because inherited wealth persists mainly at the top.

## 2 Incremental contribution of this paper

- **From “do inheritances equalize?” to “why and for how long?”.** Prior evidence showed that inheritances can reduce relative inequality at receipt. This paper explains the sufficient-statistic forces behind that result and shows that the result is temporary.
- **A theory of short-run inheritance effects on relative inequality.** The paper derives a condition linking the inheritance effect on top shares to three observable moments: pre-inheritance wealth inequality, inheritance inequality, and intergenerational wealth mobility.
- **A dynamic decomposition of wealth-shock responses.** The paper introduces a Mincerian Dynamic Approach that decomposes a wealth shock into marginal allocation of resources, marginal propensity to consume, marginal propensity to earn, depletion, and returns.
- **Quasi-experimental micro evidence using linked administrative data.** The paper observes inheritances, wealth, asset composition, labour outcomes, durable purchases, parent-child links, and transfer records for the same individuals.
- **Heterogeneity at the top matters.** The paper shows that long-run inequality effects are governed by heterogeneity in returns to inherited wealth, especially among wealthy heirs and heirs of wealthy parents.
- **Policy nuance.** A broad inheritance tax may not have the same distributional logic as a targeted tax on wealthy heirs. The short-run effect depends on redistribution and inheritance inequality; the long-run effect depends on persistence of inherited wealth at the top.

## 3 Data and measurement

### 3.1 Swedish administrative data

- The data combine the Income Tax Register, Wealth Tax Register, Property Tax Register, Inheritance and Estate Tax Register, LISA labour-market data, the Multi-generation Register, death records, car

ownership records, and patient records.

- **Wealth** is third-party reported and decomposed by asset class, allowing the paper to distinguish wealth changes caused by quantity changes from changes caused by asset prices.
- **Inheritances** are measured using estate and inheritance tax records. Inter vivos transfers are also studied, with the caveat that some gifts may be under-reported.
- The baseline design uses individuals whose parents die in 2000–2004 as treated cohorts and parents who die in 2008–2012 as fixed control cohorts.

**Interpretation:** The dataset is unusually powerful because it observes both the wealth shock and the subsequent balance-sheet/labour-market responses. This lets the paper move beyond cross-sectional inheritance correlations.

### 3.2 Key variables

- **Wealth.** Total individual wealth, plus asset-specific quantities and prices.
- **Inherited wealth.** The inheritance received when a parent dies, and in some exercises inter vivos transfers.
- **Unearned income.** Non-labour income generated by the resources allocated to a period.
- **Consumption.** Residual consumption/expenditure inferred from wealth changes, income, taxes, transfers, and asset positions.
- **Labour supply.** Labour earnings, hours, and entry/exit margins.
- **Durables.** Car purchases from the Swedish car registry.
- **Wealth inequality.** Top wealth shares, percentile ratios, and percentile-bin probabilities.

**Interpretation:** The key empirical object is not simply whether heirs receive money. The paper asks what happens to the inherited principal, how much is consumed, whether heirs reduce labour, and whether returns preserve wealth at the top.

## 4 Models and empirical specifications

### 4.1 Wealth-accounting decomposition

Let wealth be  $A_t = p_t q_t$ , where  $p_t$  is a vector of asset prices and  $q_t$  is a vector of asset quantities. Wealth changes are decomposed as

$$\Delta A_t = p_t \Delta q_t + \Delta p_t q_{t-1}. \quad (1)$$

**Interpretation:** The first term is quantity change or saving. The second term is asset-price change or capital gain. Depletion of inherited wealth is about quantities, not merely price movements.

### 4.2 Unearned-income decomposition

Unearned income is

$$y_t = r_t q_t - p_t \Delta q_t. \quad (2)$$

**Interpretation:** Extra resources in a period can be financed by selling down the principal or by earning returns on the inherited assets.

### 4.3 Mincerian Dynamic Approach

The average effect of inheritances on unearned income over the first  $T$  periods can be written as

$$\frac{1}{T} \frac{\partial(A_0 - A_T)}{\partial I} + \frac{\partial \bar{R}_T}{\partial I} + \frac{\partial \bar{G}_T}{\partial I} = \frac{\partial \bar{y}_T}{\partial I} = \frac{\partial \bar{C}_T}{\partial I} - \frac{\partial \bar{Z}_T}{\partial I}. \quad (3)$$

- The left side decomposes the financing of extra unearned income into depletion, returns, and capital gains.
- The right side decomposes uses of extra unearned income into consumption and reduced labour earnings.
- The marginal allocation of resources is  $\partial y_t / \partial I$ .

**Interpretation:** This framework separates intertemporal allocation from intratemporal spending. It allows heirs to smooth unearned income over time without requiring consumption itself to be smoothed.

### 4.4 Dynamic MPC and MPE

$$\frac{\partial C_t}{\partial I} = \frac{\partial C_t}{\partial y_t} \frac{\partial y_t}{\partial I}, \quad \frac{\partial Z_t}{\partial I} = \frac{\partial Z_t}{\partial y_t} \frac{\partial y_t}{\partial I}. \quad (4)$$

**Interpretation:** The dynamic response to an inheritance depends on the static response to extra unearned income and on the amount of the inheritance allocated to the period.

### 4.5 Short-run inequality condition

Let  $S^W$  be the pre-inheritance wealth share of top- $\theta$  heirs,  $S^I$  the inheritance share associated with top parents, and  $\alpha$  the degree of intergenerational wealth immobility. Inheritances reduce the top- $\theta$  wealth share if and only if

$$(1 - \theta)(S^W - \theta) > (\alpha - \theta)(S^I - \theta). \quad (5)$$

**Interpretation:** Inheritances reduce a top wealth share when inherited resources are less concentrated than pre-inheritance wealth, or when intergenerational mobility is sufficiently high. In Sweden, the short-run equalization comes mostly from a compressed inheritance distribution.

### 4.6 Event-study specification

The empirical design estimates

$$\hat{y}_{i,t} = \gamma_i + \sum_k \beta_k \mathbf{1}\{t - \sigma(i) = k\} + \varepsilon_{i,t}, \quad (6)$$

where  $\sigma(i)$  is the year in which child  $i$  receives an inheritance.

**Interpretation:** The coefficients trace outcomes around the year of inheritance receipt. The design compares treated heirs with fixed control cohorts who lose parents later, after reweighting cohorts to match observables.

## 5 Identification and empirical design

- **Main source of variation.** The timing of parent death shifts the timing of inheritance receipt.
- **Fixed-control method.** Parents dying in 2008–2012 form the control group for parent-death cohorts in 2000–2004.
- **Reweighting.** Each parent-death-year cohort is reweighted by birth-year and education-level distribution to match the 2000 cohort.
- **Parallel-trend check.** Figure 2 shows that normalized wealth trends are similar before inheritance receipt for treatment and control cohorts.
- **Threats.** Death may affect heirs through grief, caregiving, or family restructuring, not only through inheritance. The paper therefore separates wealth, consumption, labour, and health/car outcomes.
- **Tail robustness.** Because top shares can be driven by extremely wealthy observations, the paper adjusts Pareto tails in additional exercises.

**Interpretation:** The paper does not randomly assign inheritances, but it exploits plausibly exogenous timing variation and validates the design using pre-trends, multiple outcomes, and alternative wealth definitions.

## 6 Tables and figures

### 6.1 Figure 1 and Figure 2: theory and empirical design

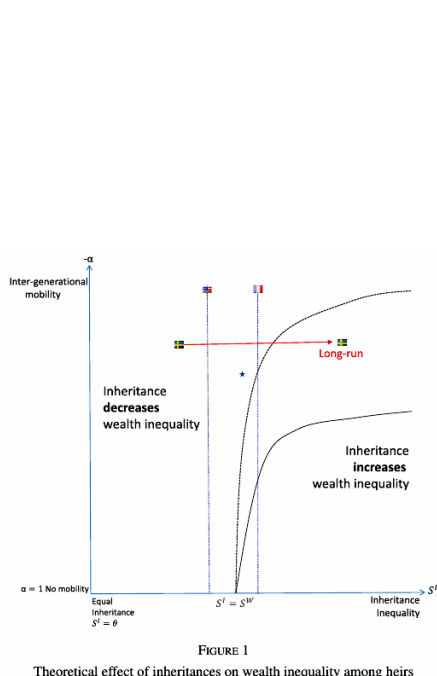
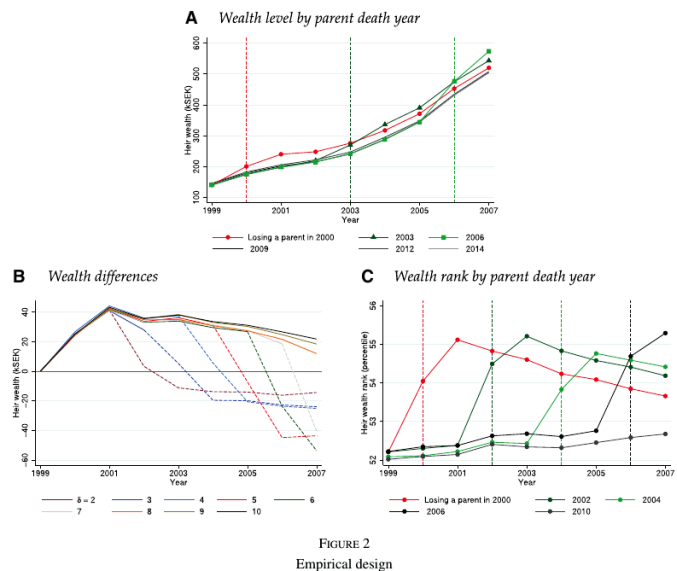


Figure 1. Theoretical effect of inheritances on wealth inequality among heirs.



Notes: (A) Median wealth over time by parent death year (without normalization). (B) The difference between the median wealth of children whose parents die in 2000 (treatment group) and various control groups, normalized in 1999. For example,  $\delta = 2$  corresponds to a control group with a parent death year of  $2000 + \delta = 2002$ . The solid (dashed) lines denote the years before (after) the control group's parent death, the point at which the control group is treated as well. (C) repeats (A) for the wealth ranks: one's percentile within birth cohort in the Swedish population. In all panels, we reweight the birth-year and education-level distribution of each parent-death-year cohort to match the distribution of the 2000 cohort. kSEK, thousand Swedish kronor.

Figure 2. Empirical design and event-time control logic.

#### Read:

- Figure 1 maps the two forces in the theory: inheritance inequality and intergenerational mobility.
- The solid curve marks combinations where inheritances leave the top share unchanged.
- Figure 2A shows wealth levels by parent-death year. Normalized paths are similar before inheritance receipt, supporting the timing design.
- Figure 2B shows wealth differences relative to controls; vertical lines mark treatment timing.
- Figure 2C repeats the logic using wealth ranks, showing that inheritance shifts heirs upward in the wealth distribution.

**Economic message:** Figure 1 gives the sufficient-statistics logic for when inheritances equalize relative wealth. Figure 2 shows that the empirical design is credible enough to estimate the dynamic effect of receiving an inheritance rather than merely comparing richer and poorer heirs cross-sectionally.

**Interpretation:** Inheritances can reduce top shares even when rich heirs receive larger inheritances in absolute terms. What matters for relative inequality is whether top heirs receive inheritances that are large relative to their already-large wealth.

## 6.2 Table 1 and Figure 3: sample balance and average inheritance effects

TABLE 1  
Summary statistics

| Year of death                           | 2000    | 2001    | 2002    | 2003    | 2004    | 2008–12 |
|-----------------------------------------|---------|---------|---------|---------|---------|---------|
| Children                                |         |         |         |         |         |         |
| Age                                     | 46.50   | 46.50   | 46.50   | 46.50   | 46.50   | 46.50   |
| Female                                  | 0.50    | 0.50    | 0.50    | 0.50    | 0.50    | 0.50    |
| Spouse                                  | 0.61    | 0.61    | 0.61    | 0.61    | 0.61    | 0.62    |
| Sibling order                           | 1.97    | 1.96    | 1.93    | 1.93    | 1.90    | 1.77    |
| Labour income                           | 181.01  | 180.74  | 181.54  | 182.35  | 181.72  | 184.37  |
| Labour income (cond. on positive)       | 208.11  | 207.89  | 208.61  | 209.11  | 208.49  | 211.08  |
| Share with positive income              | 0.87    | 0.87    | 0.87    | 0.87    | 0.87    | 0.88    |
| Wealth                                  | 496.98  | 532.93  | 943.82  | 488.82  | 482.42  | 479.30  |
| Wealth (median)                         | 142.79  | 140.59  | 144.08  | 141.97  | 140.44  | 144.41  |
| Wealth rank                             | 52.25   | 52.15   | 52.25   | 52.21   | 52.11   | 52.24   |
| Wealth, year before parent's death      | 496.98  | 580.38  | 907.81  | 574.38  | 629.34  | 1213.57 |
| Wealth rank, year before parent's death | 52.25   | 52.23   | 52.43   | 52.77   | 52.46   | 53.48   |
| Observations                            | 137,642 | 140,624 | 144,332 | 144,236 | 141,810 | 751,481 |
| Parents                                 |         |         |         |         |         |         |
| Age                                     | 77.27   | 77.02   | 76.79   | 76.47   | 76.17   | 74.45   |
| Number of children                      | 2.94    | 2.94    | 2.93    | 2.95    | 2.93    | 2.90    |
| Wealth                                  | 431.33  | 486.12  | 507.65  | 508.86  | 511.29  | 551.27  |
| Wealth (median)                         | 107.86  | 136.54  | 144.53  | 154.10  | 164.12  | 196.83  |
| Wealth per child                        | 57.09   | 69.27   | 73.76   | 71.08   | 58.36   | 79.36   |
| Inheritance                             |         |         | 61.67   | 62.23   | 55.23   |         |
| Observations                            | 65,619  | 66,727  | 68,367  | 67,507  | 66,361  | 345,463 |

Notes: This table presents descriptive statistics for the main estimation sample. The first five columns present variable means for each parent death year 2000–4, except “Wealth (median)”. The last column presents means for the control group—parent death years 2008–12. All variables measured in year 1999 unless differently stated. Monetary variables are measured in current kSEKs. Labour income is measured as gross of taxes and transfers. Wealth percentile ranks are within birth cohort in the total Swedish population. We reweight the birth-year and education-level distribution of each

Table 1. Summary statistics.

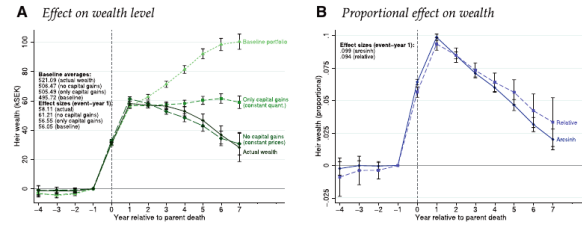


FIGURE 3

The effect of inheritances on the wealth of heirs

Notes: (A) The dynamic effects of inheritances on four measures of heir wealth: “Actual wealth”: nominal wealth at current prices (similar to Figure 2); “No capital gains”: prices fixed at their 2000 level; “Only capital gains”: quantities fixed at their level at the time of inheritance receipt; “Baseline portfolio”: quantities fixed assuming that inheritances are invested in the same way as pre-inheritance wealth across housing, stocks and bank accounts. (B) The effects on proportional wealth measures. “Arcsinh”: the inverse hyperbolic sine function; “Relative”: wealth relative to the control group average. Estimates are based on the fixed-control group method with parent death years 2000–4 (2008–12) as the treatment (control) group, except for “Baseline portfolio” and “Only capital gains”. These are estimated using the fixed-delta method, in which the same treatment cohort is assigned to a control group that receives inheritances 8–11 years because those estimates fix the portfolios of the control and treatment groups. We reweight the birth-year and education-level distribution of each parent-death-year cohort to match the distribution of the 2000 cohort. The 95% confidence intervals are based on standard errors clustered at the heir level. kSEK, thousand Swedish kronor.

Figure 3. Effect of inheritances on wealth of heirs.

### Read:

- Table 1 shows that heir age is fixed around 46.5 by construction and that covariates are broadly comparable across parent-death cohorts after reweighting.
- Parent cohorts have average ages in the mid-to-late 70s, and inheritance amounts vary across the early-2000s cohorts.
- Figure 3A shows an immediate wealth increase at inheritance receipt, followed by substantial depletion of inherited principal.
- Figure 3B shows the proportional effect on wealth: roughly a 10% initial wealth effect and gradual decline over subsequent years.

**Economic message:** The average heir does not preserve the inheritance as a permanent wealth stock. Inheritances create a large level shock, but much of the inherited wealth is dissipated over the following decade.

**Interpretation:** Table 1 matters because the identifying strategy depends on comparable cohorts. Figure 3 establishes the central behavioural fact: inherited wealth is not simply added to the balance sheet and held forever.

## 6.3 Table 2 and Figure 4: behavioural responses to inheritance receipt

TABLE 2  
Regression coefficients

| Event year   | (2)<br>Wealth      | (3)<br>Unearned inc. | (4)<br>Gross cons. | (5)<br>Net cons.   | (6)<br>Car purchases | (7)<br>Labour earn. | (8)<br>Enter        | (9)<br>Exit        | (10)<br>Hours       | (11)<br>Static MPE |
|--------------|--------------------|----------------------|--------------------|--------------------|----------------------|---------------------|---------------------|--------------------|---------------------|--------------------|
| -4           | -1.224<br>(1.7491) |                      |                    |                    | 0.0284<br>(0.1165)   | 0.455<br>(0.1418)   | 0.0016<br>(0.0017)  | 0.0003<br>(0.0003) | 0.0481<br>(0.0298)  |                    |
| -3           | -1.414<br>(1.1025) | 0.955<br>(0.7040)    | 1.501<br>(0.7454)  | 0.878<br>(0.7778)  | -0.271<br>(0.0863)   | 0.160<br>(0.1319)   | -0.0006<br>(0.0017) | 0.0004<br>(0.0003) | 0.0260<br>(0.0240)  | -0.168<br>(0.1837) |
| -2           | -1.488<br>(0.7612) | -0.672<br>(0.6052)   | -0.494<br>(0.6258) | -0.620<br>(0.4971) | -0.229<br>(0.0812)   | 0.0530<br>(0.1144)  | 0.0002<br>(0.0016)  | 0<br>(0.0003)      | 0.0062<br>(0.0190)  | 0.0789<br>(0.1845) |
| -1           | 0<br>(0.5005)      | 0<br>(0.5005)        | 0<br>(0.5244)      | 0<br>(0.5387)      | 0<br>(0.4286)        | 0<br>(0.0767)       | -1.506<br>(0.1058)  | 0<br>(0.0004)      | 0<br>(0.0170)       | 0<br>(0.0400)      |
| 0            | 31.80<br>(0.7161)  | 4.933<br>(0.5012)    | 4.454<br>(0.5255)  | 2.884<br>(0.4106)  | 6.619<br>(0.0744)    | 0.619<br>(0.1325)   | -0.0010<br>(0.0014) | 0.0008<br>(0.0004) | -0.0517<br>(0.0102) | 0.318<br>(0.0291)  |
| 1            | 58.11<br>(0.7161)  | 7.004<br>(0.5012)    | 5.053<br>(0.5255)  | 4.071<br>(0.4106)  | 0.717<br>(0.0744)    | -2.240<br>(0.1325)  | 0.0013<br>(0.0014)  | 0.0033<br>(0.0004) | -0.0523<br>(0.0102) | 0.316<br>(0.0291)  |
| 2            | 56.94<br>(0.9139)  | 6.072<br>(0.4873)    | 4.306<br>(0.5158)  | 3.757<br>(0.3992)  | -0.436<br>(0.0742)   | -2.131<br>(0.1048)  | 0.0036<br>(0.0014)  | 0.0023<br>(0.0004) | -0.0463<br>(0.0264) | 0.351<br>(0.0386)  |
| 3            | 56.32<br>(1.1161)  | 6.358<br>(0.5035)    | 4.863<br>(0.5371)  | 3.858<br>(0.4135)  | -0.508<br>(0.0734)   | -1.986<br>(0.1826)  | 0.0064<br>(0.0014)  | 0.0020<br>(0.0004) | -0.0101<br>(0.0215) | 0.312<br>(0.0379)  |
| 4            | 52.85<br>(1.6317)  | 7.001<br>(0.5435)    | 5.915<br>(0.5986)  | 4.295<br>(0.4487)  | -0.526<br>(0.0779)   | -1.688<br>(0.2017)  | 0.0048<br>(0.0014)  | 0.0009<br>(0.0004) | -0.0158<br>(0.0222) | 0.241<br>(0.0344)  |
| 5            | 46.65<br>(2.2406)  | 7.589<br>(0.6119)    | 6.481<br>(0.6951)  | 4.660<br>(0.5082)  | -0.510<br>(0.0849)   | -1.236<br>(0.2258)  | 0.0048<br>(0.0013)  | 0.0001<br>(0.0004) | -0.0030<br>(0.0228) | 0.163<br>(0.0323)  |
| 6            | 36.66<br>(3.1387)  | 6.979<br>(0.7228)    | 6.152<br>(0.8803)  | 3.954<br>(0.6049)  | -0.348<br>(0.0840)   | -0.788<br>(0.2869)  | 0.0018<br>(0.0013)  | 0.0004<br>(0.0004) | 0.0196<br>(0.0253)  | 0.113<br>(0.0359)  |
| 7            | 28.12<br>(4.9014)  | 5.387<br>(0.9678)    | 4.558<br>(1.1745)  | 2.395<br>(0.8561)  | -0.0157<br>(0.1104)  | -0.572<br>(0.3482)  | 0.0030<br>(0.0013)  | 0.0006<br>(0.0004) | 0.0437<br>(0.0286)  | 0.106<br>(0.0500)  |
| Observations | 6,376,500          | 5,603,473            | 5,603,473          | 5,603,473          | 5,685,296            | 14,469,717          | 14,180,725          | 14,180,725         | 4,101,467           | 5,603,473          |

*Notes:* This table presents regression coefficients for various outcomes. Net consumption is measured after taxes and transfers. Estimates are based on the fixed-control group method with parent death years of 2000-4 (2008-12) as the treatment (control) group, except for labour earnings, which employ the fixed-delta method. We reweight the birth-year and education-level distribution of each parent-death-year cohort to match the distribution of the 2000 cohort. 95% confidence intervals based on standard errors clustered at the heir level. Standard errors for the Static MPE are computed using the Delta method. KSEK, thousand Swedish kronor.

Table 2. Regression coefficients for wealth, consumption, labour, and static MPE.

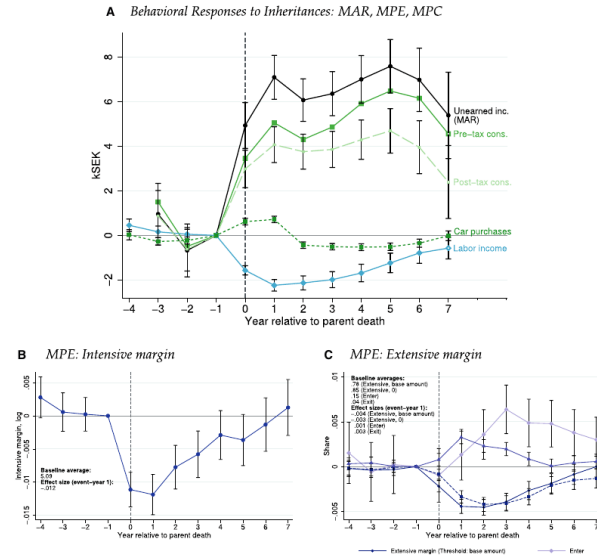


FIGURE 4

How heirs spread inheritances across time (MAR) and their responses (MPC/MPE)

*Notes:* (A) Estimates of how inheritances are spread and used over time. The circle series display the effects on unearned income (MAR).

Figure 4. How heirs spread inheritances across time and use resources.

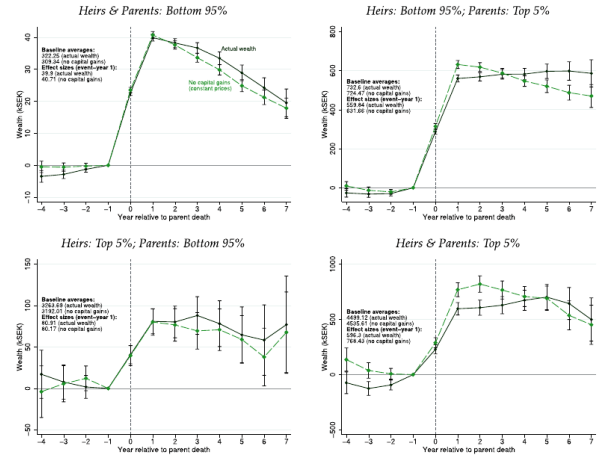


FIGURE 5

Heterogeneous inheritance depletion rates by heir and parent wealth

*Notes:* This figure shows the effects of inheritances on wealth for four subsamples based on separate regressions. For example, the top left panel focuses on children who belong to the bottom 95% of the wealth distribution and receive inheritances from the bottom 95% of inheritances (both computed in 1999). The fraction of heirs in the different categories is, clockwise from the top left, 92.4%; 2.6%; 4.2% and 0.8%. Estimates are based on the fixed-control method with the treatment (control) group comprising parent death years 2000-4 (2008-12). We reweight the birth-year and education-level distribution of each parent-death-year cohort to match the distribution of the 2000 cohort. The 95% confidence intervals are based on standard errors clustered at the heir level. KSEK, thousand Swedish kronor.

Figure 5. Heterogeneous inheritance depletion rates.

### Read:

- Table 2 shows that wealth rises strongly at the event year and then declines over time.
- Unearned income rises persistently after inheritance receipt, consistent with heirs spreading resources across periods.
- Consumption rises after inheritance receipt; labour earnings fall, with both intensive and extensive labour margins playing a role.
- Car purchases rise early, showing that durables are part of the consumption response.
- Figure 4 decomposes extra resources into unearned income, consumption, car purchases, and labour income.
- Figure 5 shows that preservation of inherited wealth is concentrated among wealthy heirs and heirs of wealthy parents.



**Economic message:** Heirs smooth unearned income, consume a large share of extra resources, and reduce labour income. But the average response does not explain the long-run inequality reversal by itself; that requires heterogeneity in returns and depletion.

**Interpretation:** The inheritance is both a spending shock and a portfolio shock. Table 2 links balance-sheet movement to real behaviour, while Figure 5 shows why the aggregate average masks sharply different wealth-preservation patterns.

## 6.4 Figure 6, Figure 7, and Figure 8: returns, top shares, and long-run reversal

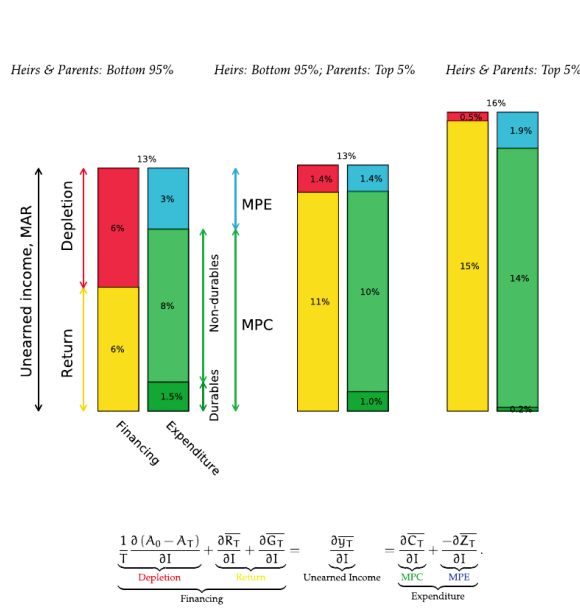


FIGURE 6

Heterogeneous responses and returns to inheritances by heir and parent wealth

Notes: This figure shows the heterogeneity in how the depletion of inheritances and the extra returns on inheritances (the LHS of the equation above) finance increased consumption and reduced labour income due to the inheritance (RHS). The heights of the bars correspond to the average effects of inheritances on unearned income (the middle part of the equation). All numbers reported are estimated as a difference of treatment and control group using our empirical research strategy (Section 3.3). This leads to a small discrepancy between the height of the bars and the height of the lines.

Figure 6. Heterogeneous responses and returns.

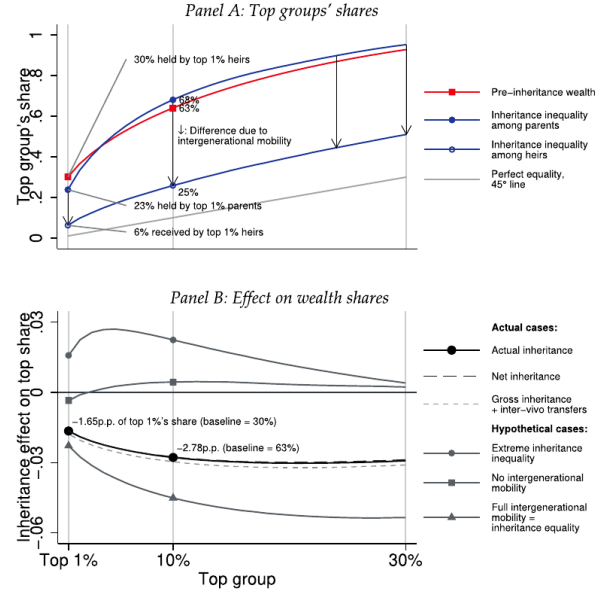


FIGURE 7

The effect of inheritances on the top shares of wealth in the short run

Notes: (A) The shares of wealth and of inheritances (y-axis) accruing to the top groups (x-axis). The square series focuses on pre-inheritance wealth among heirs; the circle series focuses on inheritances among parents, and the hollow circular series focuses on inheritances when heirs are ranked by pre-inheritance wealth. (B) presents the short-run effect of inheritances on the top wealth shares: the difference between the top share of wealth before and after inheritances. The long-dashed series display the effects net of inheritance taxes and the short-dashed series add inter vivos transfers to gross inheritances (Section 5.1 and Supplementary Appendix Figure C.33 for more details). We also present the effects of inheritances in these hypothetical cases: Extreme inheritance inequality (all estates assigned to the top group), No intergenerational mobility (all estates assigned to the top group), Full intergenerational mobility = inheritance equality (all estates assigned to the top group).

Figure 7. Effect on top wealth shares in the short run.

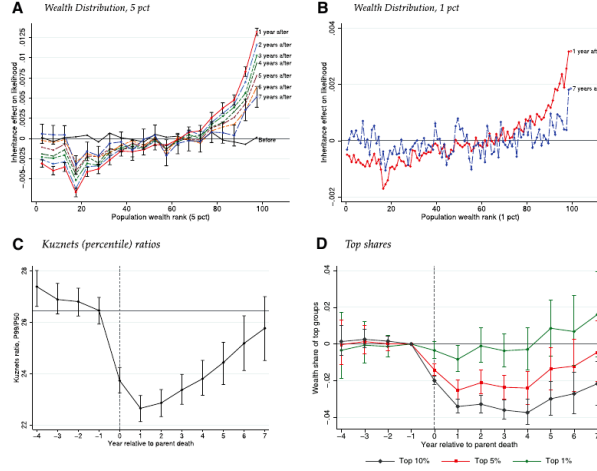


FIGURE 8

The effects of inheritances on the wealth distribution and wealth inequality: Short vs. long run

Notes: (A) The effects of inheritances on the likelihood of heirs being in each 5-percentile bin of the population wealth distribution separately for each of the 7 years after inheritance receipt as well as in the year before inheritance receipt (placebo). Estimations are based on Equation (7) using dummies for belonging to each 5-percentile bin of the wealth distribution as the dependent variables. Standard errors are clustered at the heir level and the figures display 95% confidence intervals only for years 1 and 7 to keep the figure readable. (B) The analogous effects for 1-percentile bins. (C and D) The effects of inheritances on the P99/P50 percentile ratio (other percentile ratios are reported in [Supplementary Appendix Figure C.27](#)) and on the top wealth shares. We reweight the birth-year and education-level distribution of each parent-death-year cohort to match the distribution of the 2000 cohort. The figures display 95% confidence intervals

Figure 8. Effects on the wealth distribution and wealth inequality: short run versus long run.

## Read:

- Figure 6 shows that groups differ less in expenditure responses than in financing: top groups finance extra unearned income through returns rather than depletion.
- Figure 7A decomposes top-group shares into pre-inheritance wealth, inheritance inequality among parents, and inheritance inequality among heirs.
- Figure 7B shows that actual inheritances reduce top shares in the short run; hypothetical cases illustrate the roles of extreme inequality and mobility.
- Figure 8A–B show that inheritances shift heirs rightward in the wealth distribution, especially toward the top, but much of the shift fades.
- Figure 8C shows the P99/P50 ratio falling at inheritance receipt and then recovering.
- Figure 8D shows top wealth shares falling initially and then reverting, with the top 1% eventually above the counterfactual point estimate.

**Economic message:** Inheritances equalize relative wealth at receipt but do not remain equalizing. The long-run effect is shaped by who preserves inherited wealth and who earns high returns.

**Interpretation:** Figure 7 is the short-run sufficient-statistics result in the data; Figure 8 is the dynamic inequality result. Together they show why statements such as “inheritances reduce inequality” and “inheritances increase inequality” can both be true depending on horizon and behavioural responses.

## 7 Short summary

- The paper studies inheritances and wealth inequality using Swedish administrative data and a quasi-experimental timing design.
- Inheritances reduce relative wealth inequality in the short run because inheritances are less concentrated than pre-inheritance wealth.

- The short-run equalizing effect is driven more by a compressed inheritance distribution than by high intergenerational mobility.
- The average heir depletes inherited wealth within roughly a decade.
- Wealthy heirs preserve inherited wealth, mainly because they earn higher returns on inherited wealth.
- Consumption and labour-supply responses are substantial but do not explain the top-tail persistence.
- The paper’s Mincerian Dynamic Approach decomposes inheritance responses into resource allocation, consumption, labour, depletion, and returns.
- Policy depends on horizon: broad inheritance taxation and targeted taxation of wealthy heirs have different short-run and long-run implications.

## 8 Expanded conclusion

### 8.1 Core conclusion

Nekoei and Seim show that inheritances have two distributional faces. At the moment of receipt, inheritances reduce relative wealth inequality because the inheritance distribution is less concentrated than the pre-inheritance wealth distribution. Over time, however, this equalizing effect fades and reverses because inherited wealth is depleted by average heirs but preserved by wealthy heirs.

### 8.2 Economic intuition

An inheritance is not only a transfer. It is also a portfolio and behavioural shock. For the average heir, the transfer finances consumption and some reduction in labour supply, so the inherited principal declines. For wealthy heirs, inherited assets generate higher returns, so the principal can remain intact even while consumption and leisure rise. Inequality therefore depends on both the distribution of transfers and the distribution of returns after the transfer.

### 8.3 Policy implications

- **Short-run taxation.** A proportional inheritance tax without redistribution can reduce the size of equalizing transfers and may raise short-run relative inequality.
- **Redistribution matters.** If revenue is redistributed lump sum, the tax can reduce inheritance inequality and strengthen the equalizing effect.
- **Long-run taxation.** Since inherited wealth persists mainly for wealthy heirs, a long-run inequality-reducing tax must effectively tax large inheritances received by already wealthy heirs.
- **Tax-base design.** Broad Nordic-style inheritance taxation and narrow estate taxation can have different distortion costs but similar long-run distributional effects if both tax top heirs sufficiently.

### 8.4 Contribution to wealth-inequality research

The paper reframes inheritances as a dynamic mechanism rather than a static transfer. It connects three strands of research: intergenerational mobility, wealth accumulation and returns, and behavioural responses to windfalls. The key contribution is to show that the same inheritance shock can be equalizing initially and unequalizing later.

## 8.5 What to remember

- Do not evaluate inheritance effects only at the date of receipt.
- Relative inequality can fall even when rich heirs receive more in absolute terms.
- Return heterogeneity is central to the long-run effect.
- The most policy-relevant margin is the treatment of large inheritances received by already wealthy heirs.
- The Mincerian Dynamic Approach is useful beyond inheritances: it can be applied to other wealth shocks such as lotteries, housing gains, severance payments, or policy transfers.